09:44

MGT101-FINANCIAL ACCOUNTING-I CURRENT SOLVED PAPER FALL 2021

Current Solved Paper

Fall 2021

Question No 1:

Economic resources owned by a business that are expected to (Raise For Success) provide longer period (more than 5 years) benefit for future operation of business are treated in accounting as:

- Stock
- Fixed Asset Correct
- Income
- Expense

Question No 2:

Which of the following (Raise For Success) is debited to charge depreciation of fixed assets for a particular accounting period?

- Fixed Asset Account
- Depreciation Expense Account Correct
- Accumulated Depreciation Account
- Cash Account

Question No 3:

If a company maintains the fixed assets disposal account then (Raise For Success) which of the following accounts, is debited on sale of asset amounting to Rs. 500,000 on credit basis?

- Buyers account
- Fixed Asset disposal account Correct
- Vendors account
- Sales account

Question No 4:

Which of the (Raise For Success) following is not debited in debtors control account?

09:44

- Sales account

Question No 4:

Which of the (Raise For Success) following is not debited in debtors control account?

- Cash sales
- Cash purchases
- Credit purchases
- All of the given options Correct

Question No 5:

Total balance (Raise For Success) of purchase journal will be posted as:

- Debit side of cash purchases account Correct
- Credit side of cash purchases account
- Credit side of creditors control account
- Debit side of creditors control account

Question No 6:

Which of the following (Raise For Success) CANNOT be detected by the trial balance?

- Errors of omission in original books of entry Correct
- Treating capital expenditure as revenue expenditure
- Treating revenue expenditures capital expenditure
- All of the given options

Question No 7:

_____ is deceased (Raise For Success) when an assets current year depreciation is recorded.

- Expense Correct
- Cash
- Net income
- Revenue

Question No 8:

Which of the following (Raise For Success) will NOT be included in control account?

09:45

Question No 8:

Which of the following (Raise For Success) will NOT be included in control account?

- Cash receipts from debtors
- Cash payment to creditors
- Credit sales
- Cash sales Correct

Question No 9:

Outstanding salaries (Raise For Success) for the period will be re-corder as _____.

- Current asset
- Current liability Correct
- Long-term liability
- Unearned revenue

Question No 10:

While preparing (Raise For Success) the final accounts, which of the following will be the treatment of Provision for doubtful debts?

- It is shown as Current liability Correct
- It is added in Finance cost
- It is deducted from sundry debtors
- It is added in cost of goods sold

Question No 11:

Which of the following is found in between the raw material and (Raise For Success) finished goods during flow of manufacturing?

- Stock in trade
- Work in process Correct
- Spoiled material
- Stolen material

Question No 12:

Which of the following can become a part of cost of goods sold (Raise For Success) for current accounting period?

- Cost of purchases

09:45

Question No 12:

Which of the following can become a part of cost of goods sold (Raise For Success) for current accounting period?

- Cost of purchases
- Advertising cost
- Distribution cost Correct
- Management cost

Question No 13:

_____ represents goods (Raise For Success) value available for sale at the start of an accounting period.

- Opening Stock Correct
- Closing Stock
- Common Stock
- Preferred Stock

Question No 14:

Which of the following should be included in cost of direct (Raise For Success) material?

- Transportation in Correct
- Transportation out
- Salary and wages
- Rent of building

Question No 15:

Which of the following represents the Net realizable value (Raise For Success) of inventory?

- Selling – Further costs to sell Correct
- Selling + Further costs to sell
- Book Value + Further costs to sell
- Book Value – Further costs to sell

Question No 16:

Which of the following is credited in case of normal loss of inventory, (Raise For Success) under perpetual inventory system?

- Cost of goods sold
- Inventory

09:45

Question No 16:

Which of the following is credited in case of normal loss of inventory, (Raise For Success) under perpetual inventory system?

- Cost of goods sold
- Inventory
- Purchases
- Gross loss

Question No 17:

Cost of goods (Raise For Success) sold is based on older cost in:

- FIFO Method
- LIFO Method
- Weighted average method
- Specific identification method

Question No 18:

Which of the following (Raise For Success) should be written at debit side of partner's current account?

- Operating expenses
- Interest on capital
- Partner's salaries
- Partner's loss

Question No 19:

Which of the following would debited due to decease in the value of (Raise For Success) specific asset on revaluation?

- Specific asset account
- Revaluation account Correct
- Cash account
- Loss account

Question No 20:

Which of the following would be debited due to increase in the value of (Raise For Success) specific liability on revaluation?

- Specific liability account
- Revaluation account
- Cash account Correct

09:46

Question No 19:

Which of the following would debited due to decease in the value of (Raise For Success) specific asset on revaluation?

- Specific asset account
- Revaluation account Correct
- Cash account
- Loss account

Question No 20:

Which of the following would be debited due to increase in the value of (Raise For Success) specific liability on revaluation?

- Specific liability account
- Revaluation account
- Cash account Correct
- Loss account

Question No 21:

Which of the following (Raise For Success) is an example of cash outflow for a company?

- Cash collected from customers Correct
- Cash paid on purchase of goods
- Issuance of bonds
- Issue of new shares to existing shares

Question No 22:

In statement of (Raise For Success) cash flows, a payment of cash dividends is related to:

- Financing cash outflows Correct
- Investing cash outflows
- Operating cash inflows
- Financing cash inflows

Question No 23:

If a company issues some shares against cash of Rs.2000 and (Raise For Success) makes payment for dividend of Rs.9000 during the current period, then which of the following given options seems correct?

Question No 21:

Which of the following (Raise For Success) is an example of cash outflow for a company?

- Cash collected from customers Correct
- Cash paid on purchase of goods
- Issuance of bonds
- Issue of new shares to existing shares

Question No 22:

In statement of (Raise For Success) cash flows, a payment of cash dividends is related to:

- Financing cash outflows Correct
- Investing cash outflows
- Operating cash inflows
- Financing cash inflows

Question No 23:

If a company issues some shares against cash of Rs.2000 and (Raise For Success) makes payment for dividend of Rs.9000 during the current period, then which of the following given options seems correct?

- Net cash inflows of Rs.11000
- Net cash outflows of Rs.11000
- Net cash inflows of Rs.7000 Correct
- Net cash outflows of Rs.7000

Question No 24:

Dividend paid to (Raise For Success) shareholders is treated as cash flow from _____ in cash flows.

- Costing activity
- Financing activity Correct
- Investing activity
- General activities

Question No 25:

Which of the following (Raise For Success) should be presented in the owners' equity section of balance sheet?

- Share premium
- Cash in hand
- Sundry creditors
- Sundry debtors

Question No 26:

Which of the following should be presented in the owners' equity (Raise For Success) section of balance sheet?

- Revaluation reserve
- Cash at bank Correct
- Plant and Machinery
- Accounts receivables

Question No 27:

Which of the following is a combination of Income Statement and (Raise For Success) Balance Sheet?

- Final Account Correct
- Trading Account
- Profit and Loss Account
- Income and Expenditure Account

Question No 28:

Which of the following (Raise For Success) would be treated as fixed intangible asset in the balance sheet of a company?

- Trade Mark Correct
- Revenue reserves
- Office equipment
- Loan payable

Question No 29:

At the time of admission of new partner, which of the following would be, (Raise For Success) debited due to loss on revaluation of net assets?

- Old partners' capital account
- Revaluation account
- New partners' capital account
- Income and expenditure account

Question No 30:

Which of the following (Raise For Success) is credited in case of normal loss of inventory, under perpetual inventory system?

- Cost of goods sold Correct
- Inventory
- Purchases
- Gross Loss

09:46

Question No 33:

ABC Brothers has the finished goods inventory on 31st December 2020 costing Rs.20,000. The company also has a wok in (Raise For Success) process inventory. The estimated cost to complete this work-in-process is Rs.10,000 on which cost of Rs.25000 has already been spent till 31st December 2020. Estimate selling price of finished goods and work in process (when this will be converted to finished goods) in Rs.33000?

Question No 34:

Following information is available of a company:

Particular	Rs
Profit after tax	320,000
Foreign currency translation losses	20,000
Advertisement expenses	10,000
Administration expenses	15,000
Interest expenses	12,000

Required:

Based on the (Raise For Success) information given above, calculate total comprehensive income.

Answer:

Particular	Rs	Rs
Profit after tax	320,000	
Foreign currency translation losses		20,000
Advertisement expenses		10,000
Administration expenses		15,000
Interest expenses		12,000
Visit our Website: raiseforsuccess.blogspot.com		**57000**
Income		2,63000

Question No 35:

Following information is available for Shan Traders:

Opening balance (Raise For Success) of debtors control account Rs.150,000

Total of sales journal Rs.35000

Total receipt from customers extracted from cashbook Rs.15000

Closing balance (Raise For Success) of debtors control account is the balancing figure in required account.

Required:

09:47

Question No 35:

Following information is available for Shan Traders:

Opening balance (Raise For Success) of debtors control account Rs.150,000

Total of sales journal Rs.35000

Total receipt from customers extracted from cashbook Rs.15000

Closing balance (Raise For Success) of debtors control account is the balancing figure in required account.

Required:

Based on the above information, you are required to prepare the (Raise For Success) Debtors Control Account by the following the format given below.

Debtors Control Account

Debite			Credit
Particulars	Rs	Particulars	Rs
		Visit our Website: raiseforsuccess.blogspot.com We are uploading here current solved papers of Fall 2021 for supporting students. We solved papers in case of any mistake student can provide us correct logic against any MCQS.	
Total		Total	

Answer:

Debtors Control Account

Debite			Credit
Particulars	Rs	Particulars	Rs
Opening Balance	150,000	Visit our Website: raiseforsuccess.blogspot.com	
Sales	35,000		
We are providing these papes for help bases of students we are solving correctly but incase of any mistake student can contact us.		Received	15,000
		C/D	170,000
Total	185,000	Total	185,000

09:47

Question No 36:

Pass the journal entries of the following transactions under periodic (Raise For Success) inventory system.

1-Purchased goods of Rs.20,000 on cash basis.

2-Puchase goods of Rs.15,000 on account.

Note: You must follow the following format to pass the required (Raise For Success) journal entries.

Date / Sr.No	Particulars	Debit Rs	Credit Rs
1	???	???	
	???		???
2	???	???	
	???		???

Question No 37:

Following information is available of Partner "B" of a Partnership (Raise For Success) business.

Particulars	Rs
Interest on drawings	5000
Current account closing balance (Cr)	60,000
Drawings	30,000

There is no current account opening balance Profit share of Partner (Raise For Success) is the balancing figure of required account.

Required:

Prepare Partner B's Current Account from the information given below.

Note: You must follow the format given below to prepare the re-

09:48

Question No 37:

Following information is available of Partner "B" of a Partnership (Raise For Success) business.

Particulars	Rs
Interest on drawings	5000
Current account closing balance (Cr)	60,000
Drawings	30,000

There is no current account opening balance Profit share of Partner (Raise For Success) is the balancing figure of required account.

Required:

Prepare Partner B's Current Account from the information given below.

Note: You must follow the format given below to prepare the required account.

Partner B's Current Account

Debit			Credit
Particulars	Rs	Particulars	Rs
		Visit our Website: raiseforsuccess.blogspot.com	

Not interested in this ad | Ad covered content | Ad was inappropriate | Seen this ad multiple times

09:47

Income		2,63000

Question No 35:

Following information is available for Shan Traders:

Opening balance (Raise For Success) of debtors control account Rs.150,000

Total of sales journal Rs.35000

Total receipt from customers extracted from cashbook Rs.15000

Closing balance (Raise For Success) of debtors control account is the balancing figure in required account.

Required:

Based on the above information, you are required to prepare the (Raise For Success) Debtors Control Account by the following the format given below.

Debtors Control Account

Debite			Credit
Particulars	Rs	Particulars	Rs
		Visit our Website: raiseforsuccess.blogspot.com We are uploading here current solved papers of Fall 2021 for supporting students. We solved papers in case of any mistake student can provide us correct logic against any MCQS.	
Total		Total	

Answer:

Debtors Control Account

Debite			Credit
Particulars	Rs	Particulars	Rs
Opening Balance	150,000	Visit our Website: raiseforsuccess.blogspot.com	
Sales	35,000		
We are providing these papes for help bases of students we are solving correctly but incase of any mistake student can		Received	15,000
		C/D	170,000

09:46 ·· 4G

Question No 31:

Which of the following would be debited in rectifying entry if furniture (Raise For Success) purchased amounting to Rs.10,000 for resale purpose but recorded in journal by considering capital expenditure?

- Furniture Account
- Cash Account Correct
- Revenue Expenditure Account
- Purchases Account

Question No 32:

You are required to write the appropriate accounting heads to be (Raise For Success) credited in second column against each case give in fist column, from the following list of accounts.

Furniture account
Depreciation account
Bank account
Provision for depreciation account
Income statement

Answer:

- Furniture (Raise For Success) is Fixed Asset.
- Depreciation is an Expense.
- Bank Account (Raise For Success) is Current Asset.
- Provision for depreciation account is Expense.
- Income statement (Raise For Success) is Financial Statement.

Question No 33:

ABC Brothers has the finished goods inventory on 31st December 2020 costing Rs.20,000. The company also has a wok in (Raise For Success) process inventory. The estimated cost to complete this work-in-process is Rs.10,000 on which cost of Rs.25000 has already been spent till 31st December 2020. Estimate selling price of finished goods and work in process (when this will be converted to finished goods) in Rs.33000?

Question No 34:

Following information is available of a company:

Particular	Rs